The Affordability Paradox: Why Cheaper Homes Are Harder to Finance

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KEY TAKEAWAYS

- A key challenge for affordable homeownership is not only borrower income but also structural barriers in the mortgage market for manufactured houses, which are harder to underwrite than site-built properties.
- Manufactured houses face persistently higher mortgage denial rates because of collateral concerns — including appraisal difficulties and property classification issues — independent of economic cycles or interest rates.
- As a result, rural regions experience a "geographic penalty," in which access to credit depends on local housing stock.
- Without improvements to the institutional infrastructure for valuing and financing manufactured houses, this penalty will likely persist.

This is the last in a series of four posts that explore the challenges potential homebuyers face when seeking a mortgage loan.

In one of our previous posts, we showed how rising rates squeeze borrowers through the debt-to-income bottleneck: Rising interest rates cause monthly mortgage payments to rise, pushing borrowers' debt-to-income ratios higher and thereby disqualifying many applicants. One might assume that the solution is simply to buy a less expensive home. However, for those looking at manufactured

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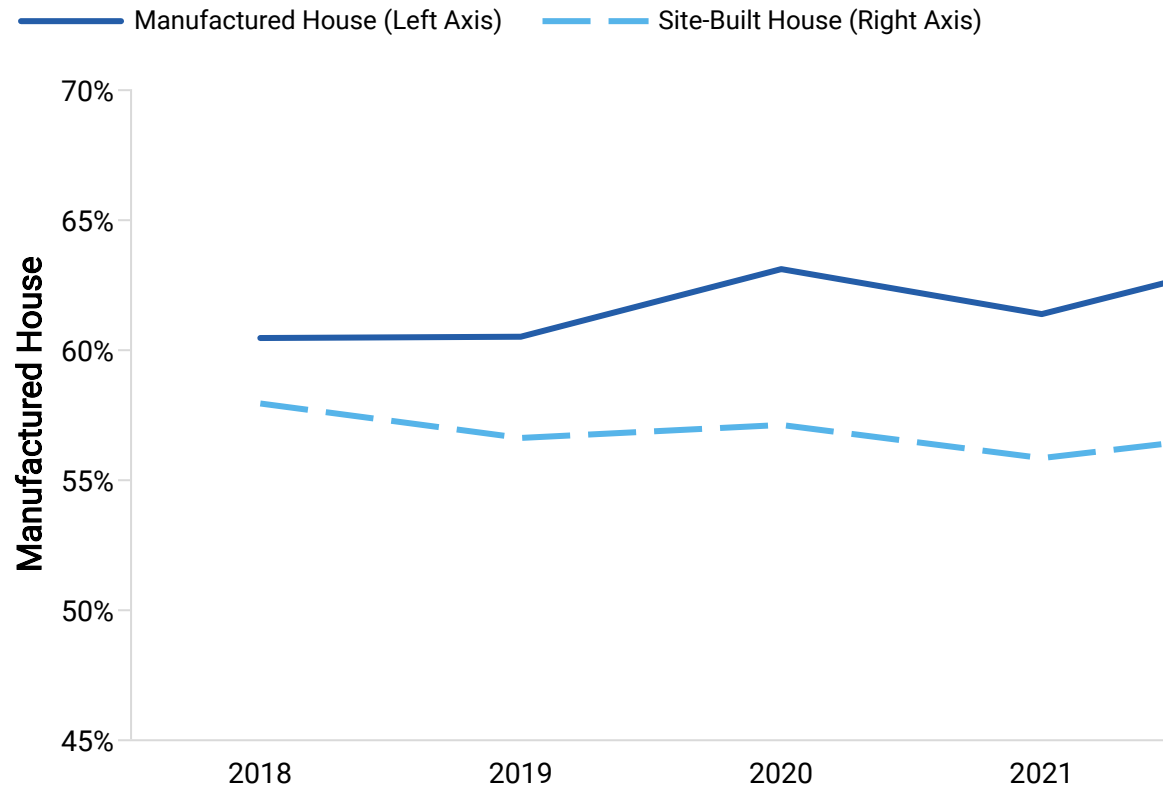
housing, the primary obstacle isn't what borrowers earn — it's what they are trying to buy.[1]

According to public Home Mortgage Disclosure Act (HMDA) data, manufactured-house applications face denial rates more than 50 percentage points higher than those for site-built homes. Even after accounting for differences in income, denial rates for manufactured houses remain higher by 5 to 8 percentage points. This gap persisted throughout our 2018-24 sample, largely unaffected by the interest rate cycle that drove aggregate denial rates up and down. It represents a fundamentally different mechanism, one rooted in the type of collateral rather than affordability in terms of ability to service the loan.

A Different Kind of Barrier

The first figure below tells a striking story. While denial rates for site-built homes tracked interest rates closely — falling during the low-rate era and rising during the tightening cycle — manufactured housing denial rates remained persistently elevated throughout. In fact, the raw gap remained massive throughout the period — ranging between 50 and 56 percentage points — demonstrating that the manufactured housing penalty operates independently of the economic cycle and monetary policy.

Mortgage Denial Rate by Type of House: 2018-24



SOURCES: Home Mortgage Disclosure Act data and authors' calculations.

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This independence is the key insight. In the site-built market, the primary reason borrowers are denied is that their debt-to-income ratio is too high, a problem that

worsens when interest rates rise. In the manufactured housing market, the binding constraint is more often the property itself. Collateral concerns, including appraisal difficulties, property classification and resale uncertainty, play a larger role in these denials. Nationally, collateral is cited as the primary reason for about 10% of mortgage denials. For manufactured homes, that share is considerably higher.

Why Manufactured Homes Are Harder to Finance

When borrowers choose a manufactured home, they are often making a calculated decision to lower their debt burden. However, the mortgage infrastructure is primarily designed for site-built real estate, creating three structural hurdles that often override the borrower's improved debt-to-income ratio.

The Appraisal Gap and "Comp" Scarcity

In the site-built market, appraising a home is a standardized process supported by a deep pool of comparable sales ("comps"). Manufactured homes are often located in rural areas or specialized communities where similar recent sales are rare. Without a robust set of comps, appraisals often come in lower or carry a higher degree of uncertainty. For a lender, this uncertainty translates into *collateral risk*, leading to higher denial rates even when the loan-to-value ratio appears favorable on paper.

The Personal Property vs. Real Estate Distinction

A significant portion of the manufactured housing stock is technically classified as chattel (personal property) rather than real property, especially if the borrower does not own the land beneath the home. This classification moves the loan out of the traditional mortgage pipeline and into the world of personal property liens. Chattel loans are not eligible for conventional mortgage products and cannot be sold to government-sponsored enterprises (GSEs), such as Fannie Mae and Freddie Mac, that provide liquidity to the broader mortgage market. The result is a thinner secondary market, which makes these loans more expensive to originate and hold.

Depreciation Risk

While site-built homes are generally expected to appreciate over time, the historical narrative around manufactured housing is one of depreciation, like a vehicle. Although modern manufacturing standards have significantly improved the lifespan and quality of these units, institutional memory persists. Lenders remain wary of the long-term residual value of the collateral. If a lender fears the asset will lose value faster than the principal is paid down, they are far more likely to issue a denial — not because they doubt the borrower's intent to pay, but because they doubt the asset's ability to cover the loss in a default.

This creates a unique form of adverse selection: The very borrowers attempting to be the most fiscally conservative by seeking out the lowest-cost housing are

pushed into the most restrictive and expensive financing channels. For these applicants, the “arithmetic” of homeownership is broken not by their income but by the structural nature of the asset itself.

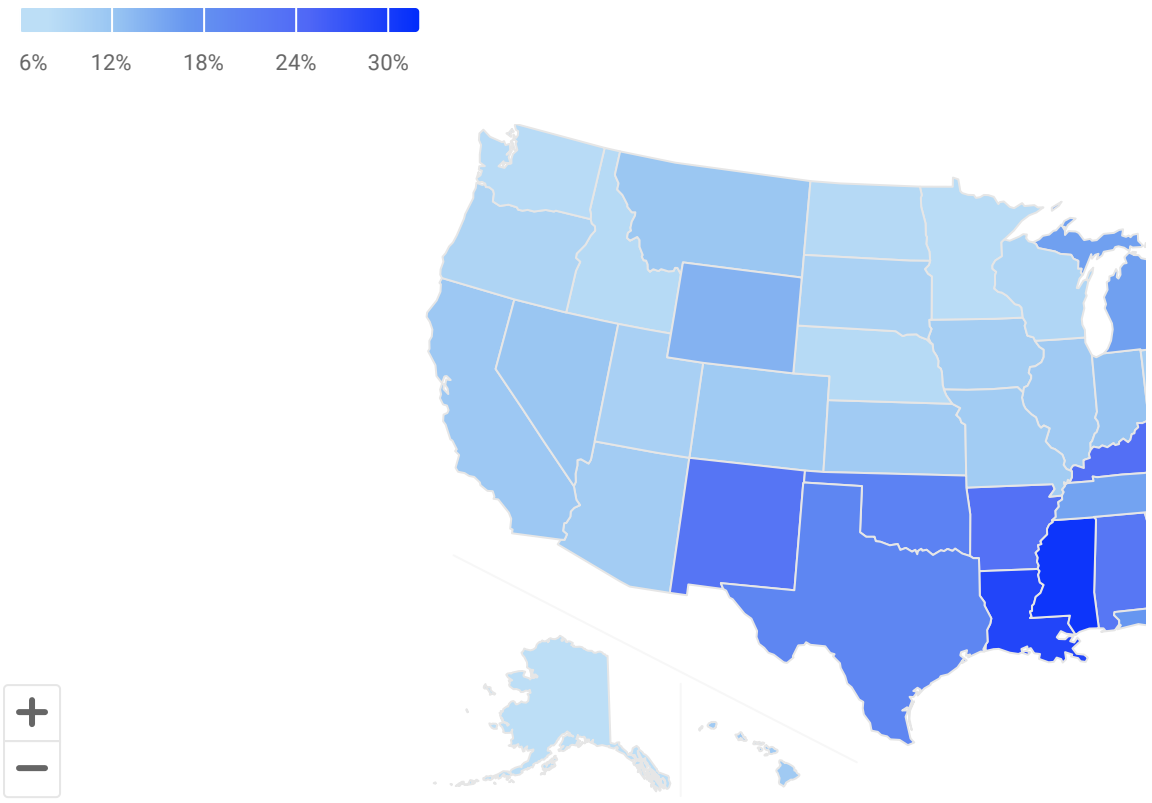
A Geographic Concentration

These financing challenges are not evenly distributed across the country. Manufactured homes are concentrated in rural areas and in the South, where they represent a significant share of the affordable housing stock. In many of these communities, a manufactured home is the most accessible path — and sometimes the only route — to homeownership for low- and moderate-income households.

Yet some of the most rural states in the country have the highest denial rates. In 2024, denial rates reached 31% in Mississippi, 29% in Louisiana, 24% in West Virginia, and 23% in Arkansas and Kentucky, and exceeded 22% in Alabama and New Mexico, compared with 15% nationally. At first glance, this is an economic paradox: Rural areas typically offer the most affordable housing stock, which should theoretically ease the path to mortgage approval. However, our data indicate that in these regions, collateral risk overrides price affordability. A higher share of applications in these areas involve manufactured housing, and the appraisal and secondary-market challenges described above, such as limited GSE eligibility, translate into systematic credit barriers at the local level.

This geographic concentration helps explain a pattern in our data that might otherwise seem puzzling. The map below displays the denial rates for house mortgages, both site-built and manufactured, for each state. As the map shows, denial rates are far higher in the South, where manufactured houses are more likely to be found.

Mortgage Denial Rates by State, 2024



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SOURCES: Home Mortgage Disclosure Act and authors' calculations.

The result of these rural challenges is a geographic penalty. Credit access becomes a function of the local housing stock rather than individual financial profile. Two borrowers with identical financial profiles can face vastly different odds of approval simply based on the prevailing property type in their ZIP code.

This geographic concentration suggests this asset-based "disqualification channel" doesn't hit just first-time buyers—it hits specific regions of the country with surgical precision. For rural communities, the barrier to homeownership is as much about the map as it is about the math.

Collateral vs. Affordability: Closing the Policy Gap

Across the broader mortgage market, the affordability channel dominates.[2] It remains the most frequently cited reason for rejection and the one most sensitive to interest rate movements. Consequently, most policy interventions — down payment assistance, Federal Housing Administration flexibility and regulatory debt-to-income caps — are designed to solve this specific problem.

However, these tools are ineffective for the manufactured housing market, which is an important source of homes in rural areas. These borrowers aren't being rejected because of a lack of income or high debt; they are being rejected because the system is not built to underwrite the homes they can afford.

Our analysis suggests that for manufactured housing, the traditional levers of monetary policy and affordability assistance are often secondary to structural frictions. Identifying these bottlenecks is the first step toward understanding why this segment of the market remains persistently constrained:

- **Secondary Market Fluidity:** The data indicate a significant gap in how these loans are treated after origination. A more integrated secondary market could, in theory, harmonize the "financing penalty" currently observed in rural areas.
- **Appraisal Standardization:** The persistent "collateral channel" denials point to a need for more robust valuation frameworks. Improving the consistency of appraisals in low-density tracts would likely reduce the volatility of outcomes for these borrowers.
- **The Real Property Transition:** Much of the denial gap is rooted in property classification. Clarifying the legal and operational path for manufactured homes to transition from chattel to real property would allow these assets to be underwritten using the more-efficient traditional mortgage pipeline.

The Takeaway

Ultimately, our research highlights a fundamental policy mismatch. While the national conversation often focuses on "fixing the borrower" through debt-to-income flexibility or down payment support, the barriers in the manufactured housing market are increasingly asset-based. Until the institutional infrastructure for valuing and financing these homes evolves, the "geographic penalty" we observe in rural communities will likely persist.

Notes

1. This post is based on our St. Louis Fed working paper "The Determinants of Mortgage Denial Using Public Data," April 29, 2026. Also, see "The Determinants of Mortgage Denial," Federal Reserve Bank of St. Louis *Review*, Second Quarter 2026, Vol. 108, No. 5, pp. 1-36.

2. Our four-part series includes a post on lender's actual threshold for a borrower's debt-to-income ratio and another on the specific challenges facing first-time homebuyers.

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